

East West University
Department of Economics
Eco 101 : Principles of Microeconomics
Section 10 & 21
Assignment 01
Fall 2025

1. Identify the correct factor of production for each of the following resources:

- A. A teacher working in a school
 - B. A sewing machine in a textile factory
 - C. A plot of land used for farming
 - D. An investor starting a new tech startup
 - E. A river used for hydroelectric power generation
- (5 marks)

2. For each decision below, identify what the opportunity cost is:

- A. A person spends 3 hours watching a movie instead of studying.
 - B. A bakery uses its oven to bake cakes instead of bread.
 - C. A person chooses to invest in stocks instead of putting money in a fixed deposit.
 - D. A student buys a smartphone instead of a laptop.
 - E. A worker takes unpaid leave to go on vacation.
- (5 marks)

3. Study the following table showing the production possibilities of a country producing Food and Clothing:

Production Possibilities	Units of Food	Units of Clothing
A	0	50
B	10	45
C	20	35
D	30	20
E	40	0

- A. **Draw a Production Possibility Frontier (PPF)** using the data above. (2 marks)
- B. **Suppose there is economic growth due to improved technology. Draw and explain how the PPF will shift.** Will it shift inward, outward, or stay the same? Why? (1 marks)

4. The table below shows the daily production output of two countries producing wheat and clothes

Country	Units of Wheat (per day)	Units of Cloth (per day)
Country A	10	20
Country B	5	10

Based on the data above, answer the following:

- A. Which country has the **absolute advantage** in the production of wheat and cloth? Explain why.
- B. Calculate the opportunity cost of producing 1 unit of wheat in both countries.
- C. Which country has the **comparative advantage** in wheat and which in cloth? Justify your answer. (5 marks)

5. The following table shows the demand and supply schedule for a product in a market:

Price (₹)	Quantity Demanded (units)	Quantity Supplied (units)
10	50	10
20	40	20
30	30	30
40	20	40
50	10	50

- A. Draw the Demand and Supply curves on a graph using the data above.
- B. Identify and label the following on your graph:
 - The **Equilibrium Price** and **Equilibrium Quantity**
 - The area of **Surplus**
 - The area of **Shortage**
 - The **Consumer Surplus** area
 - The **Producer Surplus** area(5 marks)

6. Consider the market for hotdogs (normal goods) and butter bun (inferior goods). If the government imposes a 25% increase in income tax (causing after-tax income to fall), what is expected to happen to the equilibrium price and quantity for hotdogs and butter bun? (3 marks)

7. In Japan, more people start buying electric bicycles as fuel prices increase. At the same time, the cost of producing electric bicycles also rises due to higher prices of raw materials. Draw a diagram and explain what will happen in the electric bicycle market if both effects are equal. (5 marks)

8. Use the table to answer the following questions:

Month	June		September	
	Price (per unit)	Quantity	Price (per unit)	Quantity
Product A	40	500	45	550
Product B	55	800	60	780

- Calculate the **Price Elasticity of Demand (PED)** for Product A. Comment on the PED.
- Calculate the **Cross Price Elasticity of Demand (XED)** due to the price change in Product B. Comment on the XED. (4 marks)